

REAL ESTATE LIEN NOTE

Date: January 23, 2024 (the “**Effective Date**”)

Makers: Lionel Pena and Carmen Pena aka Maria Pena (“**Makers**”)

Makers’ Mailing Address:

604 Duncan St.
Corpus Christi, Nueces County, Texas 78405

Payee: CITY OF CORPUS CHRISTI, a Texas municipal corporation (“**Payee**”)

Payee’s Mailing Address (including county) and Place for Payment:

City of Corpus Christi, P.O. Box 9277, Corpus Christi, Texas 78469-9277,
Attn: Planning and Community Development Department

Principal Amount: \$206,099.00

Term: Twenty (20) years (the “**Term**”)

Maturity Date: January 01, 2044

Security for Payment: This Real Estate Lien Note (this “**Note**”) is secured by that certain Deed of Trust, dated as of even date herewith (the “**Deed of Trust**”), from Makers to Miles Risley, Trustee, against the real property more particularly described as:

The North Twenty-four (24) Feet of the South Ninety-six (96) Feet of Lots Thirty-four (34), and Thirty-five (35), and Thirty-six (36), Block Ten (10), STEELE ADDITION, of the City of Corpus Christi, Nueces County, Texas, as shown by the map or plat thereof recorded in Volume 2, Pages 49, Map Records of Nueces County, Texas.

Prior Lien(s) (including recording information): None.

FOR VALUE RECEIVED, Makers promise to pay Payee, its successors or assigns, the principal amount of \$ Two Hundred Six Thousand, Ninety-Nine and 00/100 Dollars (\$206,099.00) (the “**Principal**”). Provided that Makers comply with each and every term and condition of: (1) this Note; (2) the Deed of Trust; (3) that certain Declaration of Restrictive Covenant, dated as of even date herewith (the “**Restrictive Covenant**”); and (4) that certain HOME Rehabilitation/Reconstruction Program Agreement, dated as of even date herewith (the “**Program Agreement**”)(collectively, this Note, the Deed of Trust, the Restrictive Covenant and the Program Agreement may be referred to as the “**Loan Documents**”), pro rata amounts of Principal shall be forgiven by one-twentieth (1/20th) annually in equal installments of Ten Thousand, Three Hundred Four and 95/100 Dollars (\$10,304.95). Such annual reductions shall take effect in arrears on each anniversary of the first day of the first month following the Effective Date, with the first annual reduction to occur on January 01, 2025, and continuing regularly thereafter until the final maturity

date of (January 01, 2044). No credit shall be given for a portion of a year. Unless assumed by an eligible heir or devisee as provided hereinafter, no Principal shall be forgiven after Makers' demise.

Interest at a rate of zero percent (0%) per annum shall accrue on the Principal unless an Event of Default (defined below) exists under this Note. For so long as any Event of Default exists under this Note, regardless of whether or not there has been an acceleration of the indebtedness evidenced by this Note, and at all times after the maturity of the indebtedness evidenced by this Note (whether by acceleration or otherwise), and in addition to all other rights and remedies of Payee hereunder, interest shall accrue at the Maximum Lawful Rate (defined below), and such accrued interest shall be immediately due and payable to Payee.

Upon the occurrence of any of the following events (each, an "***Event of Default***"), subject to any applicable cure period, as may be required by law, the Loan Documents, or other written agreement, Payee may accelerate the maturity of this Note and declare the outstanding Principal and applicable interest immediately due and payable:

- (A) Makers default or at any time fail to comply with any one (1) or more terms or conditions of this Note or any of the other Loan Documents;
- (B) Any representation or warranty made in the Loan Documents by Makers, any principal, general partner of Makers, any person authorized by Makers to execute any of the Loan Documents on behalf of Makers, or any indemnitor under any indemnity executed in connection with the loan evidenced hereby is determined by Payee to have been false or misleading in any respect at the time made;
- (C) The Property or any part thereof is taken on execution or other process of law in any action against Makers;
- (D) The holder of any lien or security interest on the Property, without implying the consent of Payee to the existence or creation of any such lien or security interest (except as otherwise acknowledged in any other written agreement between Makers and Payee), and whether superior or subordinate to this Note or the Deed of Trust securing such Note, declares a default and such default is not cured within any applicable grace period set forth in the applicable document, or institutes foreclosure or other proceedings for the enforcement of its remedies thereunder;
- (E) If Payee reasonably determines that the likelihood of payment of Makers' indebtedness evidenced by this Note or the performance of any of Makers' obligations hereunder or under any of the other Loan Documents is threatened by reason of a material adverse change in the financial condition or credit standing of Makers or any guarantor of the Loan;
- (F) Makers (i) file or have filed against Makers, a petition for the appointment of a receiver or for bankruptcy or insolvency; (ii) become or are adjudicated insolvent or bankrupt or admits in writing the inability to pay debts as they mature; (iii) petition

or apply to any tribunal for, or consents to, or does not contest the appointment of a receiver, trustee, custodian or similar officer for Makers or for any principal of Makers or for a substantial part of the assets of Makers; or (iv) commence any case, proceeding or other action under any bankruptcy, reorganization, arrangement, readjustment of debt, dissolution or liquidation law or statute of any jurisdiction, whether now or hereafter in effect;

- (G) Makers sell, transfer, or convey the Property without Payee's written consent;
- (H) Makers cease to occupy the Property as their principal place of residence;
- (I) Makers (i) initiate any changes in construction work on the Property without Payee's prior, written approval or (ii) fail to provide to Payee documentation, acceptable to Payee, of the actual rehabilitation or reconstruction project costs incurred in connection with the Property; or
- (J) Makers fail to commence the rehabilitation or reconstruction project on the Property within thirty (30) Business days after the effective date of the Notice to Proceed or fail to complete construction in full compliance with all conditions and requirements set forth in the Loan Documents, including all attachments and exhibits thereto, within one hundred twenty (120) Business days after the effective date of the Notice to Proceed, unless otherwise agreed by Payee.

Makers and each surety, endorser, and guarantor explicitly waive all demands for payment, presentations for payment, notices of intention to accelerate maturity, notices of acceleration of maturity, protests, and notices of protest, to the extent permitted by law.

Makers acknowledge that a requirement of the debt evidenced by this Note is that the Property shall remain occupied by Makers as Makers' principal residence for a period of twenty (20) years commencing on the Effective Date and expiring on the Maturity Date hereof, and Makers agree to comply with and adhere to the foregoing requirement.

Makers may prepay this Note in any amount at any time before maturity without penalty.

Payments under this Note shall be made to Payee by Makers at the place for payment and according to the terms of payment stated above.

If this Note or any instrument securing or collateral to it is given to an attorney for collection or enforcement, or if suit is brought for collection or enforcement, or if it is collected or enforced through probate, bankruptcy, or other judicial proceeding, then Makers shall pay Payee all costs of collection and enforcement, including reasonable attorneys' fees and court costs, in addition to other amounts due. Reasonable attorneys' fees shall be ten percent (10%) of all amounts due unless either party pleads otherwise.

Notwithstanding anything to the contrary contained herein, no provisions of this Note shall require the payment or permit the collection of interest in excess of the highest rate of non-usurious interest

that Payee may charge Makers under Texas law (the “**Maximum Lawful Rate**”). If for any reason interest in excess of the Maximum Lawful Rate shall be deemed charged, required or permitted by any court of competent jurisdiction, any such excess shall be applied as a payment and reduction of the outstanding Principal evidenced by this Note; and, if the Principal amount hereof has been paid in full, any remaining excess shall forthwith be paid to Makers. In determining whether or not the interest paid or payable exceeds the Maximum Lawful Rate, Makers and Payee shall, to the extent permitted by Texas law, (A) characterize any non-Principal payment as an expense, fee, or premium rather than as interest, (B) exclude voluntary prepayments and the effects thereof, and (C) amortize, prorate, allocate, and spread in equal or unequal parts the total amount of interest throughout the entire contemplated Term of this Note so that the interest for the entire Term does not exceed the Maximum Lawful Rate.

Makers are responsible for the entire amount of this Note.

This Note and the other Loan Documents, including any exhibits, contain the complete and entire understanding and agreement of Makers and Payee with respect to the subject matter hereof and thereof and supersede all prior and contemporaneous understandings, conditions and agreements, oral or written, express or implied, between the parties. Makers and Payee may only amend this Note by an instrument in writing executed by duly authorized representatives of both parties.

Waiver of any term or provision of this Note or forbearance to enforce any term or provision by Payee shall not constitute a waiver as to any subsequent breach of the same term or provision or a waiver of any other term or provision of this Note.

THIS NOTE SHALL BE CONSTRUED UNDER AND IN ACCORDANCE WITH THE LAWS OF THE STATE OF TEXAS, AND ALL OBLIGATIONS OF THE PARTIES HERETO ARE PERFORMABLE IN NUECES COUNTY, TEXAS. MAKERS HEREBY SUBMIT TO THE EXCLUSIVE JURISDICTION OF THE STATE OF TEXAS AND COURTS LOCATED IN NUECES COUNTY, TEXAS AND AGREES THAT VENUE IS PROPER THEREIN, WITH RESPECT TO ANY DISPUTE, CLAIM, CAUSE OF ACTION OR THE LIKE ARISING FROM OR OUT OF THIS NOTE (OR ANY RELATED AGREEMENT, ARRANGEMENT OR UNDERSTANDING).

If Makers consist of more than one (1) individual, each shall be jointly and severally liable to perform the obligations of Makers under this Note.

Time is of the essence with respect to all provisions of this Note and the other Loan Documents.

This Note shall be binding upon and inure to the benefit of the Makers and Payee and their respective heirs, executors, administrators, legal representatives, successors and permitted assignees. Makers shall not transfer, pledge, or otherwise assign this Note, any interest in and to same, or any claim arising thereunder, without first procuring the written approval of Payee, and any such unauthorized transfer, pledge or other assignment shall be void *ab initio* and shall confer no rights upon any third person.

In case any one (1) or more of the provisions of this Note shall for any reason be held to be invalid, illegal or unenforceable, such invalidity, illegality or unenforceability shall not affect any other provision and this Note shall be construed as if such invalid, illegal, or unenforceable provisions had never been contained herein.

Where appropriate, all personal pronouns used herein, whether used in the masculine, feminine or neuter gender, shall include all other genders and singular nouns used herein shall include the plural and vice versa.

All notices, demand, requests, and other communications relating to this Note shall be deemed to be effective if given and received in the manner expressly provided in the Program Agreement.

This Note may be assumed if the Property is transferred or conveyed through probate, inheritance, devise, descent, or operation of law due to the death of DECLARANT, provided that: (i) the Property's transferee meets the eligibility criteria to qualify for CITY's HOME Owner-Occupied Rehabilitation/Reconstruction Program, and (ii) the transferee assumes all of Makers' obligations under the Loan Documents including the Deed of Trust and the Restrictive Covenant.

IN WITNESS WHEREOF, Makers have caused this Note to be issued as of the Effective Date.

(ACKNOWLEDGMENTS)

MAKERS:

Lionel H. Pena
Lionel Pena

M. Carrero-Pena
Maria Pena

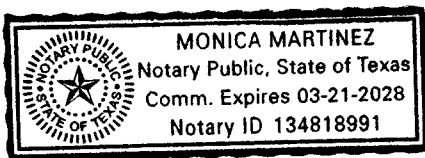
STATE OF TEXAS

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COUNTY OF NUECES

This Real Estate Lien Note was acknowledged before me on this 12th day of April, 2024, by Lionel Pena.

This Real Estate Lien Note was acknowledged before me on this 12th day of April, 2024, by Maria Pena.



Monica Martinez
NOTARY PUBLIC, STATE OF TEXAS
COMMISSION EXPIRES: 03/21/2028

APPROVED AS TO FORM:

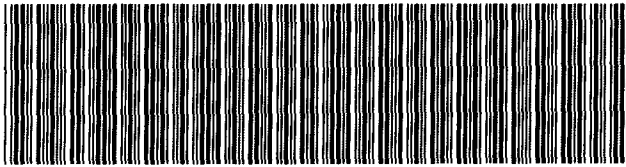
DocuSigned by:
 5/2/2024
11509B6FDB7F4B4...
Jacqueline Salinas-Bazan
Assistant City Attorney

CITY OF CORPUS CHRISTI, TEXAS

DocuSigned by:
 5/2/2024
4300A16DC7E3486...
Daniel McGinn, Director
Planning and Community Development Department

AFTER RECORDING, RETURN TO:

City of Corpus Christi
Planning and Community Development Department
ATTN.: Housing Program Specialist
P.O. Box 9277
Corpus Christi, Texas 78469-9177



VG-201-2024-2024015008

Nueces County
Kara Sands
Nueces County Clerk

Instrument Number: 2024015008

Official Public Records

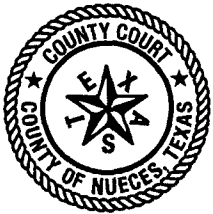
LIEN

Recorded On: May 03, 2024 10:17 AM

Number of Pages: 7

" Examined and Charged as Follows: "

Total Recording: \$40.00



STATE OF TEXAS

Nueces County

I hereby certify that this Instrument was filed in the File Number sequence on the date/time printed hereon, and was duly recorded in the Official Records of Nueces County, Texas

Kara Sands
Nueces County Clerk
Nueces County, TX

Kara Sands

***** **THIS PAGE IS PART OF THE INSTRUMENT** *****

Any provision herein which restricts the Sale, Rental or use of the described REAL PROPERTY because of color or race is invalid and unenforceable under federal law.

File Information:

Document Number: 2024015008
Receipt Number: 20240503000037
Recorded Date/Time: May 03, 2024 10:17 AM
User: Dusty G
Station: CLERK02

Record and Return To:

CITY OF CORPUS